

domestic investors are not.

Real-estate major DLF is the latest to board the bandwagon and has come up with a Rs 1,100-crore buy-back plan, under which the company will acquire 2.2 crore shares from the market for a maximum price of Rs 600 per share. The objective is to bring excitement back into stocks, as higher valuations help promoters both improve image and raise capital. Says Kiran Vaidya, president, Group M&A, Religare Capital Markets: "Companies that do not need surplus capital can go for a buy-back. This increases the return on equity and also improves the company's debt-equity ratio."

Promoters, who wish to buy back shares and reduce the equity capital, need clearances from the regulator and their board. They can opt either for an open tendering process or an open-market buy-back. In the process, investors tender their shares to the company which will pay them a fixed amount from surplus cash. However, most companies currently opt for the open market route, wherein the company buys back shares from the open market. So as an investor, if you want to return your share to the company then you cannot, as the company is buying as any other buyer in the secondary market. Says Prithvi Haldea, CEO of

Prime Database: "If the company's objective is to reduce share capital, then it should follow the tendering process wherein there is an obligation to buy back. If a company is buying back shares from the open market, then where is the need to make a big announcement? An indicative price can give a wrong signal to the market." Also under the open-market buy-back scheme, the company is under no obligation to buy shares back after making the announcement.

Buy-backs are a common feature in bear phases, when investors lose confidence and hammer stocks down. Through buy-backs, promoters send out a signal that they are confident of the company's potential. Thus companies are now utilising surplus funds to buy their shares to shore up prices, rather than expand their businesses.

For recently-listed companies, it's even more important to boost investor confidence. DLF's stock, for instance, tumbled by 58 per cent to Rs 450 from its peak and went 13 per cent below the offer price. The Delhi-based developer had raised \$2.25 billion through its IPO last year. However, not all stock is typically bought at the maximum price. The company buys at current prices and once the share price crosses the maximum or it expends the money allocated for the buy-back, it stops buying. Ramesh Sanka, group

CEO of DLF, explains the rationale behind the buy-back: "The company is confident that the current share price is not reflective of the company's potential. A buy-back will increase the earnings per share (EPS) and thereby boost the share price." A healthy share price also helps in the listing of other subsidiaries in Indian and overseas markets. By the end of this fiscal, DLF's debt-equity ratio is expected to go



**AJAY BAGGA**  
CEO, LOTUS INDIA ASSET MANAGEMENT COMPANY

**"Buy-backs increase equity returns and improve the debt-equity ratio of the company."**

**KIRAN VAIDYA**  
PRESIDENT, GROUP M&A, RELIGARE CAPITAL MARKETS



## PRIMING UP VALUE

Select companies that have recently offered buy-back schemes

| Company         | To buy back (%) | Cost of Buy-back | Maximum Buy-back Price | Market price at the time of announcement | Current Market Price* |
|-----------------|-----------------|------------------|------------------------|------------------------------------------|-----------------------|
| Patni Computers | 5               | Rs 237 cr        | Rs 325                 | Rs 271                                   | Rs 236.95             |
| DLF             | 1.3             | Rs 1,100 cr      | Rs 600                 | Rs 460                                   | Rs 393.95             |
| Madras Cements  | 10              | Rs 644.72 cr     | Rs 4,200               | Rs 3,686                                 | Rs 2,460.8            |
| Sasken Comm     | 9.45            | Rs 40 cr         | Rs 260                 | Rs 180                                   | Rs 129.25             |
| Great Offshore  | 10              | Rs 58.44 cr      | Rs 750                 | Rs 593                                   | Rs 400.15             |
| Guj Fluoro      | 10              | Rs 61.44 cr      | Rs 300                 | Rs 207                                   | Rs 170.95             |
| Rel Infra       | 25              | Rs 2,000 cr      | Rs 1,600               | Rs 1,460                                 | Rs 765.5              |
| BASF India      | 22.31           | Rs 172 cr        | Rs 274                 | Rs 245                                   | Rs 276.65             |
| JB Chemicals    | 7.05            | Rs 29.52 cr      | Rs 70                  | Rs 50                                    | Rs 36.55              |
| Abbott India    | 25              | Rs 52 cr         | Rs 630                 | Rs 581                                   | Rs 550.9              |
| Atlas Copco     | Deferred        | Deferred         | Deferred               | Rs 1,078                                 | Rs 837.05             |
| SRF             | 10              | Rs 70 cr         | Rs 160                 | Rs 129                                   | Rs 120.65             |
| Mastek          | 25              | Rs 65 cr         | Rs 750                 | Rs 356                                   | Rs 349.15             |
| Goldiam Inti    | 5.5             | Rs 9.37 cr       | Rs 85                  | Rs 56                                    | Rs 38                 |

\*Closing price as on July 16

down to 0.4 from 0.5 at present.

An announcement to buy back shares often has a stabilising effect on a stock's price as selling pressure comes down. This year, the big daddy of all buy-backs—Reliance Infrastructure—has set a trend of sorts by allocating Rs 2,000 crore for its buy-back plan. The company's stock fell to Rs 1,500 from a high of Rs 2,500 as the infrastructure, power and capital goods sectors fell out of favour. Says Lalit Jalan, CEO of Reliance Infrastructure: "The price of our share was at Rs 1,300 when the buy-back was announced, the stock price has not moved much since but things could have been worse." In the last three months, the company has bought back 54 lakh shares worth Rs 635 crore from the market.

Not all buy-backs are "altruistic" in the corporate sense. In times when